

SmarterContact Part 2: Working Your Leads

A Step By Step Guide

Lux Blueprint

This guide picks up right where Part 1 left off. In Part 1 you set up your campaign, built your text templates, loaded your goldmine list, and hit send. Now the replies are coming in. This guide shows you exactly how to work those replies and turn them into deals. Follow the playbook below for every single reply you get.

The Seven Kinds Of Replies

Almost every reply you get will fall into one of seven buckets. Matthew and I have a playbook for each one. The first four are the ones we ignore or nurture. The last three are the green replies. Green replies are the ones we are hunting for, and they get special treatment.

1. No Response

This stinks, but about 90 percent of people will do it. That is normal. Some people will never answer a cold call but will reply to a text. Other people are the opposite. That is why it helps to have more than one kind of marketing. But even if only 10 percent of people reply, that is more than enough to close these \$100,000 deals.

We already built a safety net for this in Part 1. SmarterContact allows you to automatically send a second message within 24 hours to anyone who did not reply. On top of that, we keep sending the same campaigns to the same lists every few weeks to catch more of these people. So when someone does not reply, do nothing. The system handles it.

2. Wrong Number

You will get a lot of these, and people always ask if that means the skip tracing is bad. It does not. Here is what is going on. There are about seven big data providers in the country, and Virtual Flip Leads pulls from six of them. Phone numbers come from all kinds of places, like tax records or a phone number someone typed in when they ordered food to that address. Sometimes the number belongs to the owner. Sometimes it belongs to their son or their grandpa.

The algorithm picks the five numbers most likely to belong to the owner. Will all five be right? No. But one of them usually is, and texting all five gives us the best shot at reaching the right person. So when somebody says wrong number or I do not own that house, just ignore it and move on. It is part of the game.

3. Not Interested And Rude

Some people will curse at you or tell you to get lost. Do not reply to these. And do not let it hurt your feelings. You are a nice, normal person, and you would never blow up on a stranger over a text. These people are having a terrible day. That is their problem, not yours.

4. Not Interested But Nice

Here is a rule you will see over and over in this guide. We always reply to anybody who is nice, even when they say no. So when someone says something like hey, I am not interested, thank you, or we are not really looking to sell, we still reply. Send something like this:

"Totally get it. Is there a time in the future that would be better for me to reach out?"

It takes a few seconds, it shows them a real person is on the other end, and it keeps the door open. You never know what it can turn into. Here is a true story. Matthew texted a homeowner named Gary. The reply came back that Gary had passed away, and his widow said she was not interested in selling. Most people would delete that lead. Matthew waited a couple days, then replied that he was sorry for the mix up, that the name came from tax records, and that his team buys in the area at around 3.5 million. She wrote back that at that price, she was interested. That lead turned into a contract and a \$300,000 assignment fee.

So when someone says I am not interested right now, or I am going through a divorce, or I would need to talk to my wife, those can all still become deals if you nurture them. A no today just means no right now.

5. They Give You A Price

This is our first green reply. Someone texts back something like yeah, I will sell it for 5 million. When this happens, open the lead, click Info on the right side, and click the Zillow tab. Now compare their price to what Zillow says the property is worth. There are two paths.

If their price is in range, mark them as a lead and jump to the next section of this guide. What counts as in range? For me, it is anywhere up to about 10 to 30 percent above the Zillow estimate. If Zillow says 1 million and they want 1.3, I am taking a look. If Zillow says 1 million and they want 2 million, that is way too high. It depends on your market and your preference, but do not throw away a lead just because they asked for more than the Zillow number.

Here is why we leave that margin. First, it gives you room to negotiate. Second, closing costs are on your side. If a seller wants 2.5 million and the house is worth 2.1, you look far apart. But if they sold on the market for 2.3 million, they would pay around 8 percent in closing costs, realtor fees, title, and escrow. That is roughly 200 grand. Their real take home on the market would be about 2.1 million. Now you are in range to lock it up and assign it to a developer. Always factor in that 7 to 8 percent when you negotiate.

If their price is way too high, reply with something like "Interesting, how did you get to that number?" or "That is higher than what we are looking to pay, but if you are serious about selling, we would love to make you a competitive offer." Nine times out of ten they will tell you off. Ignore that like we ignore rule number three. But every so often someone opens the door and asks where you would be at. That person is motivated. They just threw out a smokescreen first. A smokescreen is a big number or a brush off that a seller uses hoping you stop texting. When you answer it the right way and they keep talking, you have found a real seller.

6. They Ask What Your Offer Is

Green reply. They say things like how much, or what is your offer? Mark them as a lead and go to the next section.

7. They Say Yes, I Am Interested

The best one. Green reply. Mark them as a lead and go to the next section.

What To Do With Every Green Reply

When you get any green reply, here is the flow. Call them immediately. Speed to lead wins deals. The moment someone says yes, you want to be on the phone with them. Not everyone will answer. If they do not pick up, leave a voicemail, then keep the conversation going by text using the seller texting guide. You will find it in the classroom under Marketing Strategy Breakdown. It is called How To Close A Deal Over Text, and it lists the exact questions we ask to lock up deals entirely over text.

One exception. In Part 1 we showed you templates like "Hey, did you get my offer?" If someone replies what offer, and you say we mailed you one, you have told them an offer exists. You cannot call that person and start asking basic questions about their property. Before you call, pull up comps and have a real number ready to talk about.

Double Text Every Single Day

I wish everyone would tattoo this on their brain. This is where most people lose deals, and when somebody tells me texting does not work, this is the part they skipped.

Every green reply gets marked as a lead in SmarterContact. Then, every day, filter your Messenger by that label and look at every lead. Anyone who gave a green reply and then went quiet gets another text. Send something like hey, still interested? Or just ask the same question you asked before. Keep doing it every day until they reply or block you.

Think about your own phone. You get a text, you are driving, your kid runs up, and the text is forgotten. That is what happens to sellers too. Do not expect these people to remember you. Force them to remember you.

Here is proof it works. Scott, one of our students, closed a \$115,000 deal with us. The seller replied something nice, then went quiet. Scott texted that person every single day, about eight times in a row, until they answered again. Those eight texts were the difference between \$115,000 and zero.

Follow up works on the cold leads too. Matthew had a seller tell him flat out no, twice. Two months later he sent one casual text: "Hey, just checking in. Has anything changed?" Something had changed. A family illness meant they needed to move across the country, and they did not want to deal with listing on the market. That one text became a closed deal. Timing and circumstances change in people's lives all the time. If you are the first person to reach them after things change, you win the deal.

Labels: How To Stay Organized

Labels are how you keep your inbox from turning into a mess. SmarterContact comes with labels like do not call, not interested, wrong number, no answer, left voicemail, hung up, disqualified, deal closed, and call back. Label every conversation as you work it. That way, when you filter, you are only looking at the people who matter.

Quick Replies: Never Type The Same Message Twice

You will send the same handful of messages over and over. Do not type them out every time. In Messenger, click the little lightning bolt to use Quick Replies, and go to Quick Replies to create new ones. Give it a name, write the message, done.

Two tips. First, write your own. There is no magic copywriting in our messages. The closer your texts sound to how you actually talk, the better they work. Second, do not sit down and try to write them all today. Send a campaign, and the moment you notice you are typing the same message again, save it as a quick reply right then.

One more thing worth knowing. Once somebody has replied to you, texting them back does not use any credits. Replies are free. So there is no reason to ever leave a nice message hanging.

Working The Inbox: Real Examples

Here is the routine Matthew follows on every reply. Open the conversation. Click Info on the right side. Click the Zillow tab and look at the property and the area. Then respond and label the lead. When you look at the area, check these things:

- Lot size, year built, and square footage. Old house on a big lot in a nice area usually means tear down value.
- Is it on a busy street? Yellow lines on the map mean a busier road, and busy roads sell for less. Compare it to quiet streets nearby.
- What did nearby lots and new builds sell for, and when? Always check the sale dates.
- Look at the street view. If you see a builder sign on a lot nearby, write down that company. They just bought there, which makes them a built in buyer for your deal.

Now here is how we answer the most common replies. Do not copy these word for word. Make them sound like you. And do not stress about typos. Matthew sends texts with spelling mistakes all the time. It shows you are a real person.

"I did not see it. Please resend."

If you know your number, send your terms. If you need to buy time, say "Did you not receive our offer for your property on Main St?" If they say no, please send it, you know they are interested in selling. If they say we have no interest in selling, reply with the totally understand message and ask if there is a better time in the future.

"Who is this?" or "Who are you?"

"This is Matthew from Lux Off Market, in regard to your property on Miller. We sent a contract and offer in the mail." Use the street name to make it personal. They will either say they are not interested or that they never got an offer. If they never got it, perfect. Offer to send the terms over text.

"What contract are you talking about?"

"The contract for your property on DoubleTree." You are saying it this way to gauge their interest. If they come back with I have not gotten anything yet, reply with something like "We tried to send you an offer. Are you actively interested in selling?" Getting someone to finally answer is gold. It means they have some interest in talking to you.

"What does that mean, a property like mine?"

Go look at why you texted them in the first place. Then tell them. "You have a unique property because of the large lot size, and we are currently looking for more lots in your area for redevelopment." If the lot

could be split, say "We could potentially split the lot and build two spec homes on the property." Then follow with "Any interest in hearing an offer?"

"Tell me what you know about my property."

Replies like this often mean they are interested, but they are testing you to make sure you are not about to send a crazy lowball. Take the time to look up their property and answer with real facts, like the lot size and the street, and why you want it.

"What exactly is full market value?"

This is where doing your homework pays off. Matthew found the comps, then sent this: "I believe your property is worth around 1.9 million on market. Many of your neighbors have sold at or around this number. Keep in mind when working with us, we pay all closing costs. You pay no fees or commissions (saving you 7 to 8 percent) and we can be flexible with closing timelines. That being said, we would be willing to offer 1.8 million net to you, same as you would net with a 1.95 million on market offer. Any interest?"

That whole message took about 60 seconds and it is 100 percent worth it. Here is why. If that seller is interested, they are going to look on Zillow and see neighbors selling at 1.9. A bare 1.8 offer would look low. But when you explain that 1.8 net to them equals what their neighbor took home on a 1.95 sale, they feel like they are winning. And the cool part is, they actually are. Meanwhile, you already know two buyers paid 1.9 for lots right next door. Those are your buyers. Developers love having projects close together because it makes their crews and materials way more efficient.

"Not interested" from a great property

Even when someone says no, if the property sits in an area full of new builds, reply before you move on. "So sorry to hear about that. If you change your mind, we are actively looking for our next deal in the area and would love to make you a competitive offer." Matthew has had this exact reply turn into a deal.

Getting On The Phone

Everyone who replies positively should also get a call. If you can get them on the phone, it will go better than text. Phone fear is normal. Everybody starts with it, and even Matthew and I still get a little nervous sometimes. Remember, nobody can hurt you through the phone, and the only way to get better is to make more calls. Follow our script, then shape it so it fits how you talk. When you first start, you will sound rough. That is fine. Done is better than perfect. Most of the win is just making the call.

When a seller asks you a question you cannot answer, do not panic and do not fake an exact answer. Stay vague and move forward. If they ask what lender you use, say "We work with a bunch of different lenders. What matters to us is getting you the best price for your property. Speaking of that, how much would you like to walk away with when everything is said and done?" You answered without answering, and you took control back.

Selling on the phone is a tennis match. You score points by ending everything you say with a question. If you answer their question and stop talking, you dropped the ball. Ask a question to serve it back.

And here is the big one. After you ask a question, be quiet and let them talk. Do not cut people off. Ask if they have any easements and they might say not that I am aware of, but there is a utility box in the corner of the property. Ask why they want to sell, and if you let them keep going, they will tell you

everything you want to hear. If you have to, put yourself on mute after you ask, like Matthew used to. Interrupting is the fastest way to lose information you need.

The Math That Makes This Work

One last thing. That full market value offer Matthew sent took about 60 seconds. Working a whole batch of replies takes about 25 minutes when you are not stopping to explain everything. Do that once a day. Make 50 real offers in 90 days in a goldmine market and you are going to get a deal. It is literally that simple. Show up every day, reply to every nice message, double text your leads, and make your offers.